

shoulders to a regular pattern, and you have a complex head-and-shoulders top. Both patterns have a volume trend that generally slopes downward between the shoulders. The left shoulders often have higher volume than the corresponding right ones.

The performance rank is good: seventh and ninth where 1 is best. The breakeven failure rate in bear markets is quite good, too, ranking fifth (not shown).

The measure rule doesn't work all that well, about half the time as the table shows (percentage meeting price target). I'll show how to improve those percentages in Trading Tactics.

Tour

There are two basic varieties of complex head-and-shoulders tops (which I'll refer to as complex tops). The first is illustrated in [Figure 42.1](#). It has two heads but only one pair of shoulders. The complex top started in November after an extended bull run that began in November 1992 (not shown) and then melted back by late October, forming a base for the move up to the complex top.

The stock rebounded, creating the left shoulder. It paused at the 31–32 level by moving sideways, and then price spiked upward again in a sort of measured move up (a chart pattern) thrust. The measured move up stopped short of its target price by just over a dollar before the stock began retracing. The peak served as the first head.